

# INTERNATIONAL RELATIONS



A world map with a light blue background. The BRICS countries (Brazil, Russia, India, China, and South Africa) are highlighted in a darker blue. Dashed blue lines connect these countries across the globe, forming a network. A dark blue rounded rectangle with the word 'BRICS' in white is centered over the map.

BRICS

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- 1 BRICS is an abbreviated word which stands for Brazil, Russia, India, China and South Africa.
- 2 It originated in a Goldman Sachs paper titled 'Building Better Global Economics BRICS'.
- 3 It was a part of an economic exercise to forecast global economic trends.
- 4 BRICS represent 3 billion people constituting 40% of the world population. It accounts for \$20 trillion of GDP.





5 This organisation does not have any European country or US as its member. BRICS constitutes growing and emerging economies.

6 They aim towards a multipolar economic and political order.

7 The aim of the grouping was to establish an equitable, democratic and multi-polar world order.



## BRICS SUMMIT

1

- The First BRICS summit took place in 2009 in Russia.
- The summit focused upon discussing economic and financial issues arising out of the 2008 financial crisis; with emphasis on reform of international financial institutions.

2

The Second summit of 2010 took place in Brazil launching of several intra-BRICS Cooperative institutions including a meeting with National Security Advisors, a Business Forum, Think Tank Seminar and a meeting of Ministers of Agriculture to boost the economic base of countries.





## BRICS SUMMIT

3

- The Fourth summit took place in India in 2012.
- It was a historic summit of establishing financial cooperation with developing countries through establishment of BRICS Bank for financing infrastructure needs and sustainable development projects of BRICS and other developed countries.

4

The idea for the New Development Bank was raised.

5

- The Fifth summit took place in South Africa in 2013.
- The Contingency Reserve Arrangement established with an initial amount of \$100 billion.
- The BRICS Council was set up.



## BRICS SUMMIT

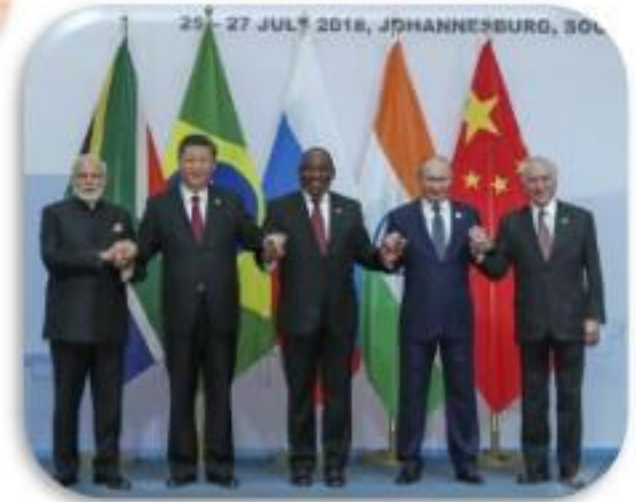
- 6 Tenth BRICS summit which took place in Johannesburg.
- 7 The **Johannesburg declaration** has called for definite stand on corruption and extradition of economic offenders and fugitives and their asset recovery.
- 8 It also called for **fighting international terrorism** and early implementation of the Comprehensive Convention on International Terrorism.





## BRICS SUMMIT

- 9 The BRICS leaders have used the summit to reject the growing unilateralism and instead reiterate their commitment to the strengthening of multilateral institutions, calling for stronger intra-trade within member states.
- 10 The declaration was in the backdrop of United States- China trade war over tariffs.
- 11 The Johannesburg summit's focus on the 4th Industrial Revolution and the outcomes of the BRICS Meetings of Science and Technology and Industry Ministers, the leaders commended the establishment of the BRICS Partnership on New Industrial Revolution (PartNIR).



## ASIAN INFRASTRUCTURE INVESTMENT BANK (AIIB)

- 1 The AIIB is a multilateral development bank that aims to support the building of infrastructure in the Asia-Pacific region.
- 2 It was proposed as an initiative by the government of China in 2013 and came into existence in 2014.
- 3 The capital of the bank is \$100 billion, equivalent to  $\frac{2}{3}$  of the capital of the Asian Development Bank and about half that of the World Bank.

### Card-carrying members

■ ADB members and AIIB prospective founding members

■ ADB members but not AIIB prospective founding members

■ AIIB prospective founding members but not ADB members





## ASIAN INFRASTRUCTURE INVESTMENT BANK (AIIB)

- 4 China and India are being excluded from institutions in the international order.
- 5 Exclusion ostensibly prevents them from becoming rule makers that presumably would allow them to make or create rules.
- 6 Hence, there was a need to **establish alternative institutions** to financially support the BRICS economies.
- 7 India along with China has permanent seats on the AIIB board of directors. **AIIB currently has 93 members countries** and Beijing acts as AIIB headquarter.





## OBJECTIVES OF AIIB

- 1 AIIB represents an additional financing window dedicated to infrastructure projects and meeting the financing gap.
- 2 AIIB is a multilateral development bank with a mission to improve social and economic outcomes in Asia.
- 3 The Bank's priority areas in Asia are to help develop sustainable infrastructure, improve transport and energy connectivity and mobilise private sector capital into infrastructure.





## INDIA AND AIIB

- 1 India has most benefited from AIIB as about 25% of approved projects belongs to India.
- 2 India is identifying projects worth US\$ 2-3 billion that could be funded by the Asian Infrastructure Investment Bank (AIIB).
- 3 The projects were in the areas of urban development including smart cities, urban transport, energy, inland waterways and water supply.



## INDIA AND AIIB

- 4 Recently AIIB extended USD 1.2 billion loan for infrastructure projects in India.
- 5 The fund will invest in six projects, including \$500 million in the Mumbai Metro and \$455 million in rural roads in Andhra Pradesh.
- 6 This also includes \$200 million to the National Investment and Infrastructure Fund.





## ANALYSIS OF AIIB FUNCTIONING

1 AIIB has devised innovative finance mechanism, upholds best practices and many projects are co-financed by World Bank, Asian Development Bank.

2 AIIB projects had been socially and environmentally conscious leading to AAA rating by International rating agencies.

3 But critics considered AIIB as an attempt to supplant international financing institution.

4 They raised the issue of effective governance and inadequate environmental and social safeguards in projects approved.





## WAY FORWARD

- 1 Need to widen portfolio of projects in areas such as smart cities, renewable energy, urban transport, clean coal technology, solid waste management and urban water supply.
- 2 Faster loan appraisal procedure and lean organisational structure to lower cost of loans.
- 3 Diversifying financing instruments including local currency financing.
- 4 Flexible procedures for responding to project clients' needs.
- 5 To leverage its "special fund mechanism" to crowd in infrastructure financing from external sources.





## NEW DEVELOPMENT BANK (NDB)

**1** NDB is the first Multilateral Development Bank established by developing countries and emerging economies – Brazil, Russia, India, China and South Africa (BRICS) – in accordance with the agreement on New Development Bank signed on 15th July 2014 in Fortaleza, Brazil.

**2** The NDB members represent 42% of world population, 27% of the global surface area and accounting for over 20% of the Global GDP.

**3** The Bank shall support public or private projects through loans, guarantees, equity participation and other financial instruments.

| <br><b>BRICS 2014</b><br>Fortaleza Brasil |        | <br>Brazil | <br>Russia | <br>India | <br>China | <br>S Africa |
|------------------------------------------------------------------------------------------------------------------------------|--------|-----------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|
| <b>BRICS Summits</b>                                                                                                         |        |                                                                                               |                                                                                               |                                                                                              |                                                                                              |                                                                                                 |
| Participants                                                                                                                 | Summit | Date                                                                                          | Host country                                                                                  | Host leader                                                                                  | Location                                                                                     |                                                                                                 |
| 1st                                                                                                                          | BRIC   | Jun 16, 2009                                                                                  | Russia                                                                                        | Dmitry Medvedev                                                                              | Yekaterinburg                                                                                |                                                                                                 |
| 2nd                                                                                                                          | BRIC   | Apr 16, 2010                                                                                  | Brazil                                                                                        | L.I. Lula da Silva                                                                           | Brasília                                                                                     |                                                                                                 |
| 3rd                                                                                                                          | BRICS  | Apr 14, 2011                                                                                  | China                                                                                         | Hu Jintao                                                                                    | Sanya                                                                                        |                                                                                                 |
| 4th                                                                                                                          | BRICS  | Mar 29, 2012                                                                                  | India                                                                                         | Manmohan Singh                                                                               | New Delhi                                                                                    |                                                                                                 |
| 5th                                                                                                                          | BRICS  | Mar 26–27, 2013                                                                               | S Africa                                                                                      | Jacob Zuma                                                                                   | Durban                                                                                       |                                                                                                 |
| 6th                                                                                                                          | BRICS  | 15-17 July, 2014                                                                              | Brazil                                                                                        | Dilma Rouseff                                                                                | Fortaleza                                                                                    |                                                                                                 |



## NEW DEVELOPMENT BANK (NDB)

- 4 The initial subscribed capital of the bank was equally distributed among the founding members.
- 5 The agreement on the NDB specifies that the voting power of each member will be equal to the number of its subscribed shares in the capital stock of the bank.
- 6 The bank is headquartered in Shanghai, China. The first regional office of the NDB is in Johannesburg, South Africa.





## PURPOSE OF THE BANK

1 The NDB was established aiming to mobilise resources for infrastructure and sustainable development projects in BRICS and other emerging economies and developing countries, complementing the existing efforts of multilateral and regional financial institutions for global growth and development.

2 The five member nations – Brazil, Russia, India, China and South Africa – have an equal shareholding in the NDB.



## NEED AND SIGNIFICANCE OF NEW DEVELOPMENT BANK

- 1 The creation of NDB was felt because of the discriminatory attitude of the West towards the developing countries.
- 2 The BRICS member countries accounting for almost half of the world's population and about one-fifth of global economic output have only 11% of the votes at international financial institution like the IMF.
- 3 Both World Bank and IMF are based on the weighed voting system. This is leveraged by the developed countries.
- 4 US has an advantageous position in World Bank and European countries have an advantageous position in IMF.





## NEED AND SIGNIFICANCE OF NEW DEVELOPMENT BANK

- 5 These developing countries do not have enough voting rights in these institutions.
- 6 The expectation is that the NDB with its total capital of \$100 billion would meet short term liquidity requirement of the member countries.
- 7 An effort has been made to avoid China's dominance on the bank; for which India is made the president of the bank for the first six years and after this Brazil and Russia would have turns with five years each.
- 8 The New Development Bank is not just about setting up yet another bank. It represents a new political will among new and emerging powers in the world to challenge the old architecture of growth.





## SHIFT IN THE POWER STRUCTURE

- 1 Over the last 20 years, it has been obvious that the growth impetus has shifted to Asia and also Africa.
- 2 The World Bank and the IMF, dominated by the US and Europe, cannot function with limited voting powers for the new tigers. BRICS seeks to challenge their power structure.
- 3 The setting up of the New Development Bank and the \$100 billion currency stabilization fund or Contingency Reserve Fund will signal the emergence of new international currencies to challenge the US dollar's hegemony.
- 4 In the initial years, the Chinese yuan will get internationalised first, followed by the Indian rupee after about a decade of strong growth in India's economic and trade shares.





## SHIFT IN THE POWER STRUCTURE

- 5 Even though the dollar will continue to remain the biggest international currency for the foreseeable future, its share will start falling as the yuan rises.
- 6 The world will have the dollar, euro, the yen and the yuan as its main currencies over the next decade.
- 7 The dollar will not remain the only option for the settlement of global trades, especially when intra-Asian, African and Latin American shares of global trade start picking up in the decades ahead.





## ORGANIZATION OF NEW DEVELOPMENT BANK

**1** The agreement on the New Development Bank entered into force in July 2015, with the ratification of all five states that have signed it.

**2** The five founding members of the Bank include Brazil, Russia, India, China and South Africa.

**3** According to the Articles of Agreement, the main organs of the bank are:

1. Board of Governors
2. Board of Directors
3. President and Vice-Presidents.

*The NDB President will be elected on a rotational basis from one of the founding members, and there will be at least one Vice President from each of the other four founding members. V. Kamath, from India, is the first elected president of the NDB.*





## INDIA AND NDB

- 1 India signed First Loan Agreement with New Development Bank for US\$ 350 million for Development and Up-gradation of Major District Roads Project in Madhya Pradesh. India signed Second Loan Agreement with New Development Bank for USD 100 million for Rajasthan Water Sector Restructuring Project for Desert Areas.
- 2 With 10 years of development, BRICS has grown into an important platform for cooperation among emerging markets and developing countries.
- 3 BRICS countries come from Asia, Africa, Europe and America and are all members of the G20.
- 4 Together, the nations account for 26.46% of the world land area, 42.58 % of the world's population, 13.24% of the World Bank voting power and 14.91% of IMF quota shares.

## BRICS: numbers and facts



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Learning Space

**For Suggestions:**

[suggestions@learningspace.in](mailto:suggestions@learningspace.in)

**To Contact us:**

[info@learningspace.in](mailto:info@learningspace.in)

**For Information:**

[info.learningspacedigital@gmail.com](mailto:info.learningspacedigital@gmail.com)

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